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quite qualify for the extra help low-income subsidy under the Medicare Part D Prescription Drug program, and he is wondering if there is any other option he help with his considerable drug costs. What should you tell him?

ld look into the possibility of purchasing his medications through the Internet from offshore pharmacies.

d check with the manufacturers of his medications to see if they offer tance program to help people with limited means obtain the ions they need. Alternatively, he could check to see whether his statearmacy assistance program to help him with his expenses.

✓ **Correct:** Some pharmaceutical manufacturers operate programs that assist low-income individuals. In addition, some states have assistance programs specifically for their residents. Some of the state programs are "qualified" and count toward TROOP, and some do not.

ld contact his neighbors and family members and let them know that any contributions they make toward his drug expenses will be tax-deductible.

/ option available is to reduce his income so that he can qualify for the Part D extra help, or wait until next year to see if the annual limits change.

Slide - Other Help for Low Income - Pharmaceutical Assistance Programs.

ns to you that because he takes multiple expensive drugs, he has trouble paying his cost sharing for his prescription drugs, particularly at the beginning of the ductible phase. He is happy with his plan and does not want to change. However, he said he had heard about a new program called the Medicare Prescription Payment Plan and asked whether it might help. What do you tell him?

- ☐ a. The Medicare Prescription Payment Plan will save beneficiaries half of their cost-sharing amounts on an annual basis.
- ☒ b. The Medicare Prescription Payment Plan helps spread out beneficiary cost-sharing payments but does not decrease the total amount owed. ✓ **Correct:** The Medicare Prescription Payment Plan helps spread out beneficiary cost-sharing payments but does not decrease the total amount owed.
- ☐ c. Beneficiaries must also be receiving a low-income subsidy to opt into the Medicare Prescription Payment Plan.
- ☐ d. Mr. Bravo is not eligible for the Medicare Prescription Payment plan because his income is too high.

Source: Module 3, Slide - The Medicare Prescription Payment Plan (1 of 2) and Slide - The Medicare Prescription Payment Plan (2 of 2)

Question 3

Correct

Mrs. Vo is entitled to Part A and has medical coverage without drug coverage through an employer retiree plan. She is not enrolled in Part B. Since the employer plan does not cover prescription drugs, she wants to enroll in a Medicare prescription drug plan. Will she be able to?

- ☐ a. No, as long as her employer offers coverage that is equivalent to that available through Medicare, Mrs. Vo cannot enroll in a Medicare prescription drug plan.
- ☒ b. Yes, Mrs. Vo must be entitled to Part A and/or enrolled in Part B to be eligible for coverage under the Medicare prescription drug program. ✓ **Correct:** Mrs. Vo is eligible to enroll in Part D because she is entitled to Part A. An individual is eligible to enroll in Part D if the individual is entitled to Part A and/or enrolled in Part B.
- ☐ c. Yes, but Mrs. Vo must drop the employer coverage before enrolling in a Medicare prescription drug plan.
- ☐ d. No, Mrs. Vo will have to enroll in Part B to qualify for enrollment into the Medicare prescription drug program.

Source: Module 3, Slide - Medicare Part D and PDP Eligibility

Question 4

Correct

Mr. Wu is eligible for Medicare. He has limited financial resources but failed to qualify for the Part D low-income subsidy. Where might he turn for help with his prescription drug costs?

- ☒ a. Mr. Wu may still qualify for help in paying Part D costs through his State Pharmaceutical Assistance Program (SPAP). ✓ **Correct:** A State Pharmaceutical Assistance Program may be able to assist with prescription drug costs for those who are of limited means, but do not qualify for the Part D low-income subsidy.
- ☐ b. Mr. Wu may still qualify for help in paying for Part D costs through the Federal Pharmaceutical Assistance Program.
- ☐ c. Mr. Wu has no alternative but to liquidate his remaining assets and apply for coverage through his state's Medicaid program.
- ☐ d. Mr. Wu may still qualify for help in paying Part D costs through the local Office of the Aging.

Source: Module 3, Slide - Other Help for Low-Income - Pharmaceutical Assistance Programs and Slide - Help for Individuals with Limited Income and Limited Resources

Question 5

Correct

Mrs. Xiong wants to enroll in a Medicare Advantage plan that does not include drug coverage and also enroll in a stand-alone Medicare prescription drug plan. Under what circumstances can she do this?

- ☐ a. Mrs. Xiong can apply for any Medicare Advantage plan and, if it offers drug coverage, ask to have that element of the coverage eliminated, after which she can enroll in a stand-alone Medicare prescription drug plan in her service area.
- ☒ b. If the Medicare Advantage plan is a Private Fee-for-Service (PFFS) plan that does not offer drug coverage or a Medical Savings Account plan, Mrs. Xiong can do this. ✓ **Correct.** An individual may enroll in a stand-alone Medicare Part D prescription drug plan (PDP) if they are enrolled in a PFFS plan or a MSA plan.
- ☐ c. Mrs. Xiong can enroll in any Medicare Advantage plan, regardless of whether it offers drug coverage, and enroll in any stand-alone Medicare prescription drug plan.
- ☐ d. This is not a possibility. If Mrs. Xiong wants health coverage and drug coverage through a plan, she must purchase an MA-PD plan.

Source: Module 3, Slide - Medicare Part D and PDP Eligibility, Slide - Medicare Part D Eligibility: MA-PDs, Cost Plans, and PACE

Question 6

Correct

Mrs. Enriquez is one of your clients. She has read that there is a new program that may help her manage prescription drug costs. What do you tell her about the Medicare Prescription Payment Plan?

- ☐ a. Opting into the Medicare Prescription Payment Plan will impact what counts toward their true out-of-pocket (TROOP) costs.

- ☐ b. Part D enrollees who choose to participate in the Medicare Prescription Payment Plan pay 25 percent of their drug costs at the point of service and the remainder during the rest of the plan year.
- ☐ c. Part D enrollees must opt into the Medicare Prescription Payment Plan at the beginning of the year.
- ☒ d. Part D enrollees can opt into the Medicare Prescription Payment Plan at the beginning of the plan year or any point during the year. ✔ **Correct:** Part D enrollees can opt into the Medicare Prescription Payment Plan at the beginning of the plan year or any point during the year.

Source: Module 3, Slide - The Medicare Prescription Payment Plan (1 of 2)

Question 7
Correct

Mr. Peters understands that there is a standard Medicare Part D prescription drug benefit, but when he looks at information on various plans available in his area, he sees a wide range in what they charge for deductibles, premiums, and cost-sharing. How can you explain this to him?

- ☐ a. The government bases its payments to Part D plans on the standard benefit model. For Part D plans to receive the full government payment, they must offer the standard model, however, they can take a risk and revise their benefit structure to attract more beneficiaries.
- ☒ b. Medicare Part D drug plans may have different benefit structures, but on average, they must all be at least as good as the standard model established by the government. ✔ **Correct:** Part D plans must cover at least the Part D standard benefits or its actuarial equivalent. Part D plans are permitted to offer supplemental benefits that cover certain drugs not covered under Part D. Some Part D plans may offer these supplemental benefits for an additional monthly premium.
- ☐ c. The government allows Part D plans to adopt any benefit structure as long as the list of covered drugs meets their approval.
- ☐ d. The Part D standard model's importance is that it is the only type of plan into which low-income beneficiaries can enroll and still receive any extra help for which they may qualify.

Source: Module 3, Slide - Part D Benefits, Slide – Part D Benefits: Alternative Coverage, Slide – Formularies: Overview and Slide - Formularies: Protected Drug Classes

Question 8
Incorrect

Mr. Pittman has heard that Medicare prescription drug plans are only offered through private companies under a Medicare Advantage (MA) program, not by the government. He likes Original Medicare and does not want to sign up for an MA product, but he also wants prescription drug coverage. What should you tell him?

- ☐ a. Mr. Pittman can stay with Original Medicare and also enroll in a Medicare prescription drug plan through a private company that has contracted with the government to provide only such drug coverage to eligible Medicare beneficiaries.
- ☒ b. To obtain prescription drug coverage, Mr. Pittman must enroll in an MA plan. The plan will cover his Part A and Part B services, as well as provide him with the desired prescription drug coverage. ✘ **Incorrect:** Mr. Pittman can stay in Original Medicare and obtain prescription drug benefits through a stand-alone Part D plan. He does not have to enroll in a MA plan.
- ☐ c. Mr. Pittman can obtain drug coverage through the Federal government's fallback plans, which are designed to provide an alternative to privately sponsored Medicare Advantage plans.
- ☐ d. Mr. Pittman can keep Original Medicare, but if he does not sign up for an MA plan that includes prescription drug coverage, he will only be able to obtain prescription drug coverage through a Medigap plan.

Source: Module 3, Slide - Medicare Part D Prescription Drug Program Basics, Slide – Medicare Part D and PDP Eligibility

Question 9
Correct

Mr. Wells gets by on a very small amount of fixed income. He has heard there may be extra help paying for Part D prescription drugs for Medicare beneficiaries with limited income. He wants to know whether he might qualify. What should you tell him?

- ☐ a. He must apply for the extra help at the same time he applies for enrollment in a Part D plan. If he misses this opportunity, he will not be able to apply for the extra help again until the next annual enrollment period.
- ☒ b. The extra help is available to beneficiaries whose income and assets do not exceed the annual limits specified by the government. ✔ **Correct:** If a beneficiary has limited income and resources, they may qualify for a low-income subsidy (LIS) to cover all or part of the Part D plan premium and cost-sharing. Beneficiary income may not exceed 150 percent of the Federal Poverty Level (FPL). Assets may not exceed a limited amount specified by the government.
- ☐ c. The extra help is available only to Medicare beneficiaries who are enrolled in Medicaid. He should apply for coverage under his state's Medicaid program to access the extra help with his drug costs.
- ☐ d. The government pays a per-beneficiary dollar amount to the Medicare Part D prescription drug plans, to offset premiums for their low-income enrollees under the plan's set criteria. Mr. Wells should check with his plan to see if he qualifies.

Source: Module 3, Slide - Help for Individuals with Limited Income and Limited Resources and Slide - Agents/Brokers Should Encourage Individuals with Limited Income/Resources to Apply to the State Medicaid Office.

Question 10
Correct

Mrs. Yates is enrolled in a cost plan for her Medicare benefits. She has recently lost creditable coverage previously available through her husband's employer. She is interested in enrolling in a Medicare Part D prescription drug plan (PDP). What should you tell her?

- ☐ a. If a Part D benefit is offered through her plan she must enroll in this plan.
- ☐ b. Mrs. Yates must enroll in either a HMO or PPO Medicare Advantage plan to obtain Part D coverage.
- ☐ c. Mrs. Yates must first seek COBRA benefits under her husband's plan before she can apply for Part D coverage.
- ☒ d. If a Part D benefit is offered through her plan she may choose to enroll in that plan or a standalone PDP. ✔ **Correct:** Mrs. Yates is enrolled in a Cost plan. This provides her with options as to how she secures Part D benefits. Beneficiaries enrolled in a Cost plan may obtain Part D benefits through their plan (if offered) or through a stand-alone Prescription Drug Plan (PDP).

Source: Module 3, Slide - Medicare Part D Prescription Drug Program Basics, and Slide – Medicare Part D and PDP Eligibility

Question 11
Correct

Mrs. Bernal is enrolled in a prescription drug plan. She has heard about something called True-Out-of-Pocket Costs or "TROOP" and asks you if any of the following count toward reaching the catastrophic coverage phase. What do you say?

- Her annual PDP deductible
- Supplemental coverage provided by an employer group waiver plan
- The off-formulary drug her doctor prescribed but she pays for because the plan denied her exception request
- Her over-the-counter (OTC) allergy medication.

- ☐ a. I only
- ☒ b. I and II only ✔ **Correct.** Mrs. Bernal's annual PDP deductible and supplemental coverage provided by an Employer Group Waiver Plan. Also, Mrs. Bernal's cost-sharing during the initial coverage phase counts toward her TrOOP.
- ☐ c. I, II, III, and IV
- ☐ d. I, II, and IV only

Source: Module 3, Slide - "True Out-of-Pocket Costs (TrOOP)"

Question 12
Correct

Mr. Rudd, a fairly prosperous individual, first became eligible for Part D on December 1, 2025 after working many years and contributing to the Medicare program. Although he did not have creditable drug coverage, he did not sign up for Part D when he was first eligible because at that time he did not rely on any prescription drugs. Recently, Mr. Rudd learned that he needed to take several expensive drugs to stay healthy. Therefore, he wishes to obtain drug coverage during the Annual Election Period to be effective on January 1, 2027. Will Mr. Rudd be subject to a late enrollment penalty and if so, how much?

- ☐ a. Mr. Rudd will not be subject to a late enrollment penalty because he did not take any prescription drugs when first eligible for Part D.
- ☒ b. Mr. Rudd will have to pay a penalty of 13 percent of the national average premium, representing a 1 percent penalty for every month he did not have creditable coverage after becoming eligible for Part D. This penalty will remain in effect for as long as he has Medicare prescription drug coverage.
- ☐ c. Mr. Rudd will be subject to a one-time penalty of 6 percent – the maximum penalty percentage for late enrollment in Part D.
- ☐ d. Mr. Rudd will not be subject to a late enrollment penalty because he contributed to the Medicare program for many years thereby qualifying for premium free Part A.

✓ **Correct:** Mr. Rudd will be subject to a penalty of 13 percent of the national average premium representing one percent for every month he did have creditable coverage after becoming eligible for Part D. This penalty will remain in effect for every month that he has Medicare prescription drug coverage.

Source: Module 3, Slide - Part D Late Enrollment Penalty and Slide – Late Enrollment Penalty Examples

Question 13
Correct

One of your clients, Jasmine Perry, has heard about a Medicare concept from one of her neighbors called TROOP. She asks you to explain it. What do you say?

- ☐ a. TrOOP stands for true out-of-pocket costs that count toward the Medicare Part D catastrophic limit and include only expenses paid directly by a Medicare Part D beneficiary.
- ☐ b. TrOOP refers to true out-of-pocket costs paid by a Part D beneficiary for non-prescription over-the-counter (OTC) drugs and vitamins that are not covered by their plan.
- ☐ c. TrOOP refers to true out-of-pocket expenses paid for drugs not included in a Part D plan's formulary.
- ☒ d. TrOOP stands for true out-of-pocket costs that count toward the Medicare Part D catastrophic limit and include not only expenses paid by a beneficiary but also, in some instances, amounts paid by or through qualified State Pharmaceutical Assistance Programs.

✓ **Correct:** TrOOP stands for true out-of-pocket costs that count toward the Medicare Part D catastrophic limit and include not only expenses paid by a beneficiary but also in some instances amounts paid by or through certain other programs such as qualified State Pharmaceutical Assistance Programs (SPAPs), the AIDS Drug Assistance Program or the Indian Health Service.

Source: Module 3, Slide - True Out-Of-Pocket Costs (TROOP)

Question 14
Correct

Mr. Stark is 68, actively working, and has coverage for medical services and medications through his employer's group health plan. He is entitled to premium free Part A and is thinking of enrolling in Part B and switching to an MA-PD because he is paying a very large part of his group coverage premium, and it does not provide coverage for a number of his medications. Which of the following is NOT a consideration when making the change?

- ☐ a. If Mr. Stark is eligible for the low-income subsidy, it will substantially decrease the cost of drugs and the premium for the Part D portion of his coverage.
- ☐ b. If his drug coverage through the employer plan is not creditable, his premium for Part D will be increased by the late enrollment penalty, unless he is eligible for the low-income subsidy.
- ☐ c. If Mr. Stark drops his coverage through the employer group plan, he may not be able to get it back.
- ☒ d. Mr. Stark's retiree plan is required to take him back if, within 63 days of having voluntarily quit the employer's plan, he decides that he prefers it to his Medicare Part D plan.

✓ **Correct:** Mr. Stark's retiree plan is not required to take him back if he drops the coverage it provides. The 63 days refer to the period a beneficiary can go without creditable drug coverage without incurring a Part D late enrollment penalty.

Source: Module 3, Slide - Employer/Union Coverage of Drugs

Question 15
Correct

Who is most likely to benefit from the Medicare Prescription Payment Plan?

- ☐ a. Inez, a retired schoolteacher with creditable drug coverage through her former employer.
- ☒ b. Ryan, who suffered a heart attack at the beginning of the year requiring him to take an expensive brand name blood thinner on a daily basis, as well as an equally expensive injectable cholesterol medication on a bi-weekly basis for which he incurs high out-of-pocket costs.
- ☐ c. John, a healthy retiree enrolled in Part D, who just takes over-the-counter (OTC) low-dose aspirin as a preventive measure.
- ☐ d. Hunter, who is enrolled in Part D and suffers from high blood pressure for which he takes a generic medication daily but incurs low-out-pocket costs.

✓ **Correct:** Ryan takes several expensive drugs incurring high out-of-pocket costs. Individuals enrolled in Part D incurring high out-of-pocket costs earlier in the plan year are generally more likely to benefit from the Medicare Prescription Payment Plan.

Source: Module 3, Slide – The Medicare Prescription Payment Plan (2 of 2)

Question 16
Correct

Mrs. Mary Phan is a Medicare beneficiary enrolled in a MA-PD plan you represent. Her neighbor recently suffered from a painful case of shingles. Mrs. Phan hopes to avoid such an illness through vaccination. She asks you whether the cost of the shingles vaccination will be covered under the plan you represent. What should you say?

- ☒ a. Yes, there is no cost-sharing for the shingles vaccine, even in the deductible phase of her prescription drug plan, because it is an adult vaccine recommended by the Advisory Committee on Immunization Practices (ACIP).
- ☐ b. Yes, 25 percent of the cost of the shingles vaccine will be covered under the provisions of the Inflation Reduction Act (IRA).
- ☐ c. Yes, provided she has already satisfied her annual deductible before obtaining the vaccination.
- ☐ d. No, because the shingles vaccine is considered experimental. Mrs. Phan will be responsible for the full cost of the vaccination out-of-pocket.

✓ **Correct:** There is no cost-sharing for the shingles vaccine even in the deductible phase of Mrs. Phan's prescription drug plan because it is an adult vaccine recommended by the Advisory Committee on Immunization Practices (ACIP).

Source: Module 3, Slide - Special Cost-Sharing for Insulin and Vaccines

Question 17
Correct

Mr. Livingston was still working when he first qualified for Medicare. At that time, he had employer group coverage that was creditable. During his initial Part D eligibility period, he decided not to enroll because he was satisfied with his drug coverage. It is now a year later, and Mr. Livingston has lost his employer group coverage within the last two weeks. How would you advise him?

- ☐ a. Mr. Livingston should seek to continue employer group coverage through COBRA because it is likely to have superior benefits at a more reasonable price and provides a permanent solution.
- ☐ b. Mr. Livingston should immediately enroll in a Part D plan, but he can expect to pay a premium penalty because he failed to enroll when first eligible.
- ☐ c. Mr. Livingston can wait up to 180 days after the loss of his creditable employer group coverage before enrolling in a Part D plan without worrying about paying a premium penalty.
- ☒ d. Mr. Livingston should enroll in a Part D plan before he has a 63-day break in coverage to avoid a premium penalty.

✓ **Correct:** Mr. Livingston should enroll in a Part D plan, or otherwise obtain creditable drug coverage, before he has a 63-day break to avoid a premium penalty.

Source: Module 3, Slide - Employer/Union and other Coverage of Drugs

Question 18

Correct

Kennedy Jones has a condition for which three drugs are available. He has tried two but had an allergic reaction to them. Only the third drug works for him and it is not on his Part D plan's formulary. What could you tell him to do?

- ☐ a. Kennedy will have to wait until the Annual Election Period when he can switch Part D plans. In the meantime, he will have to pay for his drug out of pocket.
- ☒ b. Kennedy has a right to request a formulary exception to obtain coverage for his Part D drug. Kennedy or his physician could obtain the standardized request form on the plan's website, fill it out, and submit it to his plan.
- ☐ c. Kennedy will need to enroll in a Special Needs Plan to obtain coverage for his medication.
- ☐ d. Kennedy could immediately disenroll from the Part D plan and select a new Part D plan that covers the drug that works for him.

✓ **Correct:** Formulary exception requests can be used to request coverage of a drug not on a Part D plan's formulary or to cover a formulary drug at a lower-cost formulary tier.

Source: Module 3, Slide - Enrollee Rights: Requesting Coverage Determinations and Appealing Decisions.

Question 19

Correct

Mr. Solomon has drug coverage through his former employer's retiree plan. He is concerned about the Part D premium penalty if he does not enroll in a Medicare prescription drug plan but does not want to purchase extra coverage that he will not need. What should you tell him?

- ☒ a. If the drug coverage he has is not expected to pay, on average, at least as much as Medicare's standard Part D coverage expects to pay, then he will need to enroll in Medicare Part D during his initial eligibility period to avoid the late enrollment penalty.
- ☐ b. If he has any sort of employer coverage, regardless of the level of coverage, he will incur no penalty if he does not enroll in a Part D plan when first eligible.
- ☐ c. He should drop the employer coverage and enroll in a Medicare prescription drug plan. Employer plans are almost always more costly for beneficiaries, and most do not cover the same range of drugs available from a Medicare prescription drug plan.
- ☐ d. He will need to enroll in a Medicare prescription drug plan upon becoming eligible for the program to avoid a premium penalty. To reduce his expenses, he should look for a plan with a zero premium.

✓ **Correct:** To avoid a late enrollment penalty, Mr. Solomon must have "creditable" coverage. If he does not, he must enroll in Medicare Part D during his initial eligibility period to avoid a late enrollment penalty.

Source: Module 3, Slide - Part D Late Enrollment Penalty, Slide - Late Enrollment Penalty Examples, and Slide - Employer/Union and other Coverage of Drugs

Question 20

Correct

Mrs. Huang is a retired federal worker with coverage under a Federal Employee Health Benefits (FEHB) plan that includes creditable drug coverage. She will soon turn 65 and become Medicare-eligible for the first time. What issues might she consider concerning whether to enroll in a Medicare prescription drug plan?

- ☐ a. If Mrs. Huang enrolls in a PDP, Medicare will automatically disenroll her from any other drug or health coverage.
- ☐ b. Mrs. Huang may incur a Part D premium penalty if she enrolls in a Medicare prescription drug plan at some point after her initial eligibility date.
- ☐ c. If Mrs. Huang does not enroll during her initial election period, she will not be able to get Part D at a later date.
- ☒ d. She could compare the coverage to see if the Medicare Part D plan offers better benefits and coverage than the FEHB plan for the specific medications she needs and whether any additional benefits are worth the Part D premium costs on top of her FEHB contribution.

✓ **Correct:** Mrs. Huang should compare the creditable coverage offered by FEHB to Medicare Part D plans available in her area to see if the plans cover specific drugs of importance to her that are not covered under her FEHB plan and whether they offer any other additional benefits worth the Part D premium costs.

Source: Module 3, Slide - Employer/Union Coverage of Drugs

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